

Date: Nov 30, 2025

Day: _____

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Subject : Technical Entrepreneurship
Department : BSAT 7th-Sem (Mor)

ASSIGNMENT # 02

1. Financial Planning Mistakes

Ans. They underestimated operating costs and overestimated early revenue.

- Spent most savings before launch with no marketing budget left.
- Did not calculate burn rate or prepare financial projections.

2. Why ~~understanding~~ underestimating financial needs is critical?

Ans. Leads to cash shortages, stopping essential activities (e.g. no funds for marketing). Assumptions about quick revenue proved wrong, creating an early financial crisis.

3. Impact of poor preparation on funding attempts.

Ans. Weak pitch with no projections, unclear burn rate, and unrealistic valuation.

- Investors lost confidence despite liking the idea.

4. Steps taken to improve financial strategy.

Ans. Worked with a financial advisor to build projections and cash-flow plans.
~~Expired~~

- Explored alternative funding (grants, bootstrapping).
- This aligns with Chapter 10's emphasis on planning, managing cash needs, and structured fundraising.

5. Recommended funding strategy for next growth stage.

Ans. Pursue a mix of targeted angel investment + B2B partnerships + government/innovation grants.

- Based on their traction, prioritize smart money investors who offer industry connections.